Conservation Economics: Week 7

The correct answer is in **bold**.

7	1	Laffer's curve is the relationship between a. inflation and unemployment b. **tax size and tax revenue** c. producer surplus and consumer surplus d. tax size and deadweight loss
7	2	“the amount a buyer is willing to pay for a good minus the amount the buyer actually pays for it” is a. **consumer surplus** b. producer surplus c. total surplus d. deadweight loss
7	3	“the fall in total surplus that results from a market distortion, such as a tax” is a. consumer surplus b. producer surplus c. total surplus d. **deadweight loss**
7	4	“the amount a seller is paid for a good minus the seller’s cost of providing it” is a. consumer surplus b. **producer surplus** c. total surplus d. deadweight loss
7	5	“the maximum amount that a buyer will pay for a good” is a. **willingness to pay** b. market demand c. demand curve d. buyer’s surplus
7	6	Imposition of tariff a. **increases producer surplus and government revenue** b. increases consumer surplus and government revenue c. increases producer surplus, consumer surplus and government revenue d. increases total surplus
7	7	The area between the supply curve and the price is an indicator of a. consumer surplus b. **producer surplus** c. total surplus d. deadweight loss
7	8	Value to buyers - Cost to sellers is a. consumer surplus b. producer surplus c. **total surplus** d. deadweight loss
7	9	"the price of a good that prevails in the world market for that good” is the definition of a. export price b. import price c. **world price** d. domestic price
7	10	The area between the demand curve and the price is an indicator of a. **consumer surplus** b. producer surplus c. total surplus d. deadweight loss

Conservation Economics: Week 8

The correct answer is in **bold**.

8	1	For a positive production externality, **(a) SMB = PMB** (b) SMB = PMB – MD (c) SMB = PMB + MB (d) SMC = PMC / MD
8	2	"The direct benefit to consumers of consuming an additional unit of a good by the consumer" is a. private marginal cost (PMC) b. social marginal cost (SMC) c. **private marginal benefit (PMB)** d. social marginal benefit (SMB)
8	3	Partying with loud noise is an example of a. negative production externality b. positive production externality c. **negative consumption externality** d. positive consumption externality
8	4	"When an individual's consumption reduces the well-being of others who are not compensated by the individual," we have a. negative production externality b. positive production externality c. **negative consumption externality** d. positive consumption externality
8	5	"When a firm's production reduces the well-being of others who are not compensated by the firm," we have a. **negative production externality** b. positive production externality c. negative consumption externality d. positive consumption externality
8	6	Vaccination is an example of a. negative production externality b. positive production externality c. negative consumption externality d. **positive consumption externality**
8	7	"When a firm's production increases the well-being of others but the firm is not compensated by those others," we have a. negative production externality b. **positive production externality** c. negative consumption externality d. positive consumption externality
8	8	For a positive consumption externality, (a) SMB = PMB (b) SMB = PMB – MD **(c) SMB = PMB + MB** (d) SMC = PMC / MD
8	9	For a negative consumption externality, (a) SMB = PMB **(b) SMB = PMB – MD** (c) SMB = PMB + MB (d) SMC = PMC / MD
8	10	For a negative production externality, **(a) SMC = PMC + MD** (b) SMC = PMC - MD (c) SMC = PMC (d) SMC = PMC - MB

Conservation Economics: Week 9

The correct answer is in **bold**.

9	1	"the increase in total cost that arises from an extra unit of production" are a. fixed costs b. variable costs c. **marginal costs** d. sunk costs
9	2	"the increase in output that arises from an additional unit of input" is a. **marginal product** b. marginal profit c. marginal loss d. marginal cost
9	3	A monopolist firm's profit is given by a. **(Price - ATC) × Q** b. (Price - Q) × ATC c. (ATC - Q) × Price d. Price × Q - ATC
9	4	Which of the following is true for a competitive firm? a. P > MR b. P > MC c. MR > MC d. **MR = MC**
9	5	"the relationship between the quantity of inputs used to make a good and the quantity of output of that good" is a. Laffer's curve b. Phillips curve c. **Production function** d. Output function
9	6	"total revenue minus total cost, including both explicit and implicit costs" is a definition of a. **economic profit** b. accounting profit c. profit d. loss
9	7	When the cost of production for a single firm is much lesser than the cost of production for competitive firms, we have a / an **(a) natural monopoly** (b) artificial monopoly (c) oligopoly (d) duopoly
9	8	Which of the following is true for a monopoly? a. **P > MR** b. MR > MC c. MC > P d. MC > MR
9	9	"costs that do not vary with the quantity of output produced" are a. **fixed costs** b. variable costs c. marginal costs d. sunk costs
9	10	"total revenue minus total explicit cost" is a definition of a. economic profit b. **accounting profit** c. profit d. loss

Conservation Economics: Week 10
The correct answer is in **bold**.

10	1	"the political philosophy according to which the government should choose policies deemed just, as evaluated by an impartial observer behind a "veil of ignorance" " is a. Utilitarianism b. **Liberalism** c. Libertarianism d. Socialism
10	2	"a condition characterised by severe deprivation of basic human needs, including food, safe drinking water, sanitation facilities, health, shelter, education and information" is known as a. **absolute poverty** b. relative poverty c. median poverty d. poverty line
10	3	"an absolute level of income set by the government for each family size below which a family is deemed to be in poverty" is known as a. deprivation line b. **poverty line** c. deprivation index d. poverty index
10	4	"above-equilibrium wages paid by firms to increase worker productivity" are known as a. compensating wage b. **efficiency wage** c. productivity wage d. retention wage
10	5	"a difference in wages that arises to offset the non-monetary characteristics of different jobs" is known as a. differentiating differential b. **compensating differential** c. differentiating integral d. compensating integral
10	6	Absolute poverty depends a. on income but not on access to social services b. not on income but on access to social services c. **on income and on access to social services** d. neither on income nor on access to social services
10	7	"a condition where a household's income is lower than the median income in the particular country" is known as a. absolute poverty b. **relative poverty** c. median poverty d. poverty line
10	8	"the equipment and structures used to produce goods and services" is the definition of a. tools b. machinery c. **capital** d. factors of production
10	9	For a competitive and profit-maximising firm, a. each factor's rental price < the value of the marginal product for that factor b. **each factor's rental price = the value of the marginal product for that factor** c. each factor's rental price > the value of the marginal product for that factor d. each factor's rental price = the value of the average product for that factor
10	10	"the political philosophy according to which the government should punish crimes and enforce voluntary agreements but not redistribute income" is a. Utilitarianism b. Liberalism c. **Libertarianism** d. Socialism

Conservation Economics: Week 11
The correct answer is in **bold**.

11	1	"a situation where a buyer is at a risk of being sold goods of low quality" is an example of a. **adverse selection** b. moral hazard c. symmetric information d. none of these
11	2	"the change in consumption that results when a price change moves the consumer to a higher or lower indifference curve" is known as a. **income effect** b. substitution effect c. indifference effect d. budget effect
11	3	Which of these is not a property of indifference curves? a. Higher indifference curves are preferred to lower ones b. Indifference curves are downward-sloping c. **Indifference curves cross at right angles** d. Indifference curves are bowed inwards
11	4	"an action taken by an informed party to reveal private information to an uninformed party" is known as a. **signalling** b. screening c. informing d. heuristics
11	5	"the part of actual resources that can be developed profitably in the future" are a. potential resources b. actual resources c. **reserve resources** d. stock resources
11	6	"a curve that shows consumption bundles that give the consumer the same level of satisfaction" is known as a. consumption curve b. satisfaction curve c. **indifference curve** d. budget curve
11	7	"the rate at which a consumer is willing to trade one good for another" is known as a. **marginal rate of substitution** b. marginal rate of exchange c. marginal rate of trade d. marginal rate of transfer
11	8	"Ram is not wearing clothes properly, so Ram must also be lazy." This is an example of a. confirmation bias b. halo effect c. **horn effect** d. priming
11	9	"mental short cut justifying increased investment in a decision because prior investment was made" is a. affect heuristic b. availability heuristic c. effort heuristic d. **escalation of commitment**
11	10	"those resources that may be used in the future" are a. **potential resources** b. actual resources c. reserve resources d. stock resources

Conservation Economics: Week 12
The correct answer is in **bold**.

12	1	Captive breeding is an example of a. in-situ conservation b. **ex-situ conservation** c. in-situ preservation d. ex-situ preservation
12	2	Biological control of pest populations is an example of a. provisioning service b. **regulating service** c. supporting service d. cultural service
12	3	Zoo is an example of a. in-situ conservation b. **ex-situ conservation** c. in-situ preservation d. ex-situ preservation
12	4	The elephant has a home range of several square kilometres, regulates the ecosystem by its habit of destructive feeding, and people can relate to this animal which is important for conservation. Given this background, the elephant can be called as a. umbrella species b. keystone species c. flagship species d. **all of the above**
12	5	As per Wildlife Protection Act 1972 (WPA 1972), wild life includes any animal, aquatic or land vegetation which forms part of any _____ (fill in the blank) a. ecosystem b. state c. country d. **habitat**
12	6	The tiger has a home range of several square kilometres, regulates the ecosystem through controlling herbivore populations and trophic cascades, and people come to tiger reserves to watch tigers. Thus, the tiger can be called as a. umbrella species b. keystone species c. flagship species d. **all of the above**
12	7	“the cost of impacts caused by emission of carbon dioxide” is known as a. cost of carbon b. economic cost of carbon c. **social cost of carbon** d. cultural cost of carbon
12	8	Soil formation is an example of a. provisioning service b. regulating service c. **supporting service** d. cultural service
12	9	People come to Sessa orchid sanctuary in Arunachal Pradesh to witness orchids, which in this context would be classified as a. umbrella species b. keystone species c. **flagship species** d. extinct species
12	10	Nutrient cycling is an example of a. provisioning service b. regulating service c. **supporting service** d. cultural service